

Economics in Action 1

Answers to Exercises — Exam-type questions

Answers

1. D

2. A

3. C

Opportunity cost

= Resale value + Cost of replacing the battery

= \$2,000 + \$1,000 = \$3,000

4. D

5. B

6. D

7. B

8. D

9. D

10. C

If he chooses not to buy the smartphone, the consumption coupon is enough to buy both the instant camera and the laptop computer.

11. D

12. D

13. C

14. C

Option (3): When there is no scarcity, people do not have to make choices between present and future consumption.

15. D

16.

(a) The cost will increase, because (1 mark)

this will increase the value of the highest-valued option forgone (i.e., working in Hong Kong).
(1 mark)

(b) The cost will remain unchanged, because (1 mark)

this will only decrease the value of the chosen option (i.e., taking a working holiday in Europe) without affecting the value of the highest-valued option forgone. (1 mark)

(c) The cost will increase, because (1 mark)

this will increase the risk of losing personal belongings, increasing the money cost. (1 mark)

17.

(a) No, because (1 mark)

the value of the highest-valued option forgone (i.e., working in an investment bank) will decrease. (1 mark)

(b) Yes, because (1 mark)

this will increase the value of the chosen option (i.e., studying for a master's degree overseas), without affecting the value of the highest-valued option forgone. (2 marks)

(Note: students may argue that the investment bank may also be affected by social instability).

(c) No, because (1 mark)

the money cost for studying for a master's degree overseas will decrease, lowering the full cost. (2 marks)

(d) No, because (1 mark)

the value of the 3rd option (i.e., working in an accounting firm) will increase. If the value of the 3rd option increases to a level above the value of the 1st option (i.e., working in an investment bank), the opportunity cost of studying for a master's degree will increase. (2 marks)

18.

No, because (1 mark)

when the quantity available of a certain good exceeds the quantity desired (e.g., air, seawater), the good is a free good. (1 mark)

19.

No, because (1 mark)

- more of the services are preferred.
- the provision of the services involves scarce resources which have alternative uses.

(Any ONE of the above. 1 mark)

20.

No, because (1 mark)

for society as a whole,

- there are other people who love durians and prefer more of it.
- people will allocate scarce resources to produce durians.
- people are willing to pay a price to obtain durians.

(Any ONE of the above. 1 mark)

21.

(a) No, because (1 mark)

- more of mooncake is preferred.
- the mooncake is produced by scarce resources which have alternative uses.

- people are willing to give up scarce resources (i.e., time) to compete for the mooncake.
- (Any ONE of the above. 1 mark)

(b) Full cost = Money cost + Time cost (1 mark)

The time cost of the retired elderly is lower than employed persons because the value of their best alternative use of time is lower. For example, employed persons have to forego wages to wait in a queue, while the retired elderly do not. (2 marks)

22.

(a) No, because (1 mark)

- more videos are preferred.
- shooting and uploading the videos involves scarce resources which have alternative uses.

(Any ONE of the above. 1 mark)

(b) No. (1 mark)

Full cost = Money cost + Time cost (1 mark)

As the paid users do not need to watch the advertisement, they can save on the time cost of watching the video. If the saved time cost outweighs the higher money cost (i.e., subscription fee), the full cost of the paid users may be lower than that of the users who watch the video free-of-charge. (2 marks)

23.

(a) The percentage of the elderly (aged 65 or above) to the total population has increased. The government has to spend more on providing health care services for them. (2 marks)

(b) (i) Yes, because (1 mark)

as the price of building materials increases, the government needs to spend more money to build the new hospital. The money cost will increase, leading to an increase in opportunity cost/full cost. (2 marks)

(ii) No, because (1 mark)

if more people prefer using a private hospital, the value of building a new public hospital will decrease but the value of the highest-valued option forgone (i.e., opportunity cost) will not be affected. (2 marks)